

shows that it completes the trip in just 51 days. Thus, price drops much faster after a downward breakout than it rises in an uptrend. Often, price drops twice as fast.

How many change trend? In a gauge of how well price moves more than 20% from the breakout, this pattern does well. However, it's still a mid-list performer. Have I mentioned that?

[Table 9.3](#) shows failure rates for the broadening pattern. For example, I found that 15% of the patterns with upward breakouts failed to see price rise more than 5% after the breakout. Downward breakouts failed almost twice as often. Yuck.

Notice as you scan down the list how failure rates increase. Half of all upward breakouts will see price fail to rise 25%. Downward breakouts see half the patterns failing to rise more than 10%.

If you want to average 50% on your trades, 72% of them will fail to meet the threshold after an upward breakout. And that's if you trade it often and perfectly. You could make more or less, depending on your skill and the situation (such as just after a bear market ends when even the losers are winning). Sprinkle in some losing trades and your winners will have to make even more to reach your 50% target.

[Table 9.4](#) shows breakout-related statistics.

Breakout direction. The breakout direction is almost random with a slight advantage going to upward breakouts.

Yearly position, performance. I sorted the breakout price into the yearly high–low range and mapped performance on top of it. The table shows that breakouts occurring near the yearly low do better than those near the yearly high. It suggests this chart pattern does well with bottom-fishing strategies (buy low, sell high). Avoid momentum trading this pattern (buy high, sell higher).

Throwbacks and pullbacks. Throwbacks and pullbacks occur about two-thirds of the time. Price leaves the pattern for 6 days until it reaches the apex, either rising or falling 6% during the journey (depending on the breakout direction), and the stock returns to the breakout in another 6 days, for a 12-day roundtrip.